

We remind you that this explanation is complex trust law as fathomed by a poet with attention deficit disorder. Don't try this without competent, professional advice. But certainly consider it for your own purposes. It has the potential to save you a lot of money.

Trust law is extremely complicated, especially where it intersects with tax law. In America, as in many other places, the authorities will not let you escape taxes simply by setting up a trust. But we've just seen how you could save a bundle of money.

Trusts are useful—perhaps indispensable—if you're going to try to turn your personal money into “family money.” Even if you weren't able to avoid inheritance/gift taxes on the first transfer to the trust, future generations could use it to escape death duties. The bottom line is that trusts are an important part of the “hard structures” you will have to master. The trust department of any major bank can help you set one up. Just be sure you know what you're trying to achieve and that you have a competent professional on the other side of the table.

When we started, we went to a bookstore and bought a book on international tax structures. We can't say that we were able to master the subject in this manner. But at least we could sound like we knew what we were talking about when we spoke to the trust lawyers.

EXPATRIATE YOURSELF

We tend to forget about state and local taxes. But they have gotten higher and higher. In Baltimore, for example, the combination of state and local taxes adds up to nearly 10 percent. And yet, these taxes can be escaped. A dynasty trust, created in the right place, in the right way, will not pay state and local taxes. Over time, this is a huge savings. If you can avoid a 10 percent tax hit each year, you must do it.

And while we are on the subject of locating your trust in a low-tax state, this is a good place to introduce a simple tax-saving angle that is the kind of thing family money must do. At the risk of repeating ourselves, a 10 percent tax may not make a huge difference in the average person's life, but over time it will destroy a family fortune. We can't say it often enough. Time is